

Preliminary Agreement on Prototype Development and on a Future Development Contract

(including mutual non-disclosure undertakings)

concluded pursuant to Section 1746(2) and, with respect to Clause 9.5, Section 1785 et seq. of Act No. 89/2012 Coll., the Civil Code of the Czech Republic (the “Civil Code”)

Parties

NOXGAMES s.r.o. *(verify exact registered name)*

Registered office: [●], Czech Republic · ID No. (IČO): [●] · VAT No. (DIČ): [●]

Registered in the Commercial Register kept by the [●] Court in [●], file No. [●]

Represented by: [●], [●] (the “**Developer**”)

[CLIENT LEGAL NAME]

Registered office: [●] · Company / registration No.: [●] · Incorporated under the laws of [●]

Represented by: [●], [●] (the “**Client**”)

(each a “**Party**”, together the “**Parties**”)

Recitals

(A) The Developer is a Czech game development studio. The Client intends to publish *Rise of a Nation*, a youth-focused civic strategy game about building the future of India (the “**Project**”).

(B) The Developer presented a detailed development proposal in July 2026. On subsequent calls the Client selected the bespoke nation-builder production route described in that proposal as “Variant 2” (the “**Selected Route**”), including a central narrator character, region content built on the real identity of Indian states, a single overall progression system, and state-versus-state competitive and social features.

(C) Before committing to full production, the Parties wish to (i) have the Developer produce a playable prototype culminating in an MVP vertical slice, (ii) agree the commercial framework of the future development contract, and (iii) protect each other's confidential information.

1. Definitions

1.1 “**Agreement**” means this preliminary agreement including its Schedules.

- 1.2 “**Effective Date**” means the date of signature by the last Party.
- 1.3 “**Prototype Phase**” means the work described in Clause 3 and Schedule A, from the Effective Date until delivery of the MVP Vertical Slice.
- 1.4 “**MVP Vertical Slice**” means the final deliverable of the Prototype Phase: a playable build containing a representative sample of every core system intended for the launch version of the game, as described in Schedule A.
- 1.5 “**Development Contract**” means the full game development contract for the Selected Route contemplated by Clause 9.
- 1.6 “**Total Project Price**” means USD 600,000 (six hundred thousand US dollars), the fixed price for the complete development and delivery of the launch version of the game on the Selected Route, as further defined in the Development Contract.
- 1.7 “**Prototype Fee**” means USD 40,000 (forty thousand US dollars).
- 1.8 “**Decision Window**” means the period of 14 (fourteen) calendar days starting on the day following delivery of the MVP Vertical Slice.
- 1.9 “**Confidential Information**” has the meaning given in Clause 11.

2. Subject of the Agreement

- 2.1 The Developer undertakes to perform the Prototype Phase and deliver the deliverables listed in Schedule A.
- 2.2 The Client undertakes to pay the Prototype Fee and to provide the cooperation described in Clause 5 and Schedule B.
- 2.3 The Parties record the agreed commercial framework of the future Development Contract (Clause 9) and undertake mutual confidentiality obligations (Clause 11).

3. Prototype Phase — scope

- 3.1 During the Prototype Phase the Developer will design and build, on the Selected Route:
 - a. first visual concepts of the game world and of the narrator character;
 - b. complete game documentation for the prototype scope and a visual style direction decided with the Client, visually distinct from the Developer's existing title *Hexapolis*;
 - c. a playable demo of approximately the first 2 to 3 minutes of the game;
 - d. the MVP Vertical Slice, containing a representative sample of all core launch systems, including without limitation: the district-to-nation build-and-balance loop, the narrator as guide of the player journey, region content grounded in the real identity of Indian

states, the single overall progression system, the persistent multi-city dashboard in a first working version, and the intended approach to state-versus-state competitive and social features.

- 3.2 The MVP Vertical Slice will be delivered as a build installable on a mobile phone. One purpose of the Prototype Phase is to validate performance of the persistent multi-city dashboard on mid-range Android hardware.
- 3.3 **Form of deliverables.** All deliverables under this Agreement are provided exclusively in the form of playable builds (installable mobile builds and/or web builds) and, where applicable, documentation and visual presentation materials. Source code, project files, development tools, build pipelines and source (working) assets are not deliverables, are not part of the engagement and are neither transferred nor licensed to the Client, with the sole exception of marketing materials under Clause 10.6.
- 3.4 Matters of final game scope not listed in Schedule A (including final content volume, localization, live operations and launch services) belong to the Development Contract, not to this Agreement.

4. Timeline

- 4.1 The delivery plan of the Prototype Phase is set out in Schedule A. The plan assumes the Client's inputs under Schedule B are provided at or before the Effective Date.
- 4.2 Each deliverable is followed by a feedback window pursuant to Clause 6. Delays caused by late Client inputs, late feedback or requests exceeding the agreed scope extend the affected deadlines by the corresponding time.

5. Client cooperation

- 5.1 The Client shall provide the inputs listed in Schedule B at or before the Effective Date, and shall nominate one person authorised to give consolidated, binding feedback on deliverables.
- 5.2 The Parties will maintain a shared Slack channel for day-to-day communication. Formal notices under this Agreement require the form set out in Clause 15.6.

6. Delivery, feedback and acceptance of deliverables

- 6.1 The Developer notifies delivery of each deliverable in writing (email is sufficient) with access to the deliverable.
- 6.2 The Client has 5 (five) business days from notification to give one consolidated round of written feedback per deliverable. Feedback within the agreed scope will be incorporated into

subsequent work; the playable demo and the MVP Vertical Slice each include one revision round within the agreed scope.

- 6.3 If the Client gives no feedback within the window, the deliverable is deemed approved for the purpose of continuing the plan. Deemed approval does not waive the Client's rights in the Decision Window.

7. Prototype Fee and payment terms

- 7.1 The Prototype Fee is USD 40,000, fixed. The Developer will issue an invoice on the Effective Date; the invoice is payable within 5 (five) business days by wire transfer to the account stated on the invoice.
- 7.2 The Prototype Phase and the timeline in Schedule A start on the day the Prototype Fee is credited to the Developer's account.
- 7.3 The Prototype Fee is non-refundable. It will be credited in full against the Total Project Price if the Development Contract is concluded.
- 7.4 All amounts are net of VAT and of any bank charges, withholding or similar taxes. If the Client is required by law to withhold any amount, the payment shall be grossed up so that the Developer receives the full invoiced amount. The Parties will cooperate on double-taxation treaty relief where available.

8. Decision Window

- 8.1 Within the Decision Window the Client may, by written notice, elect to proceed to full production on the Selected Route at the Total Project Price (the “**Election**”).
- 8.2 If the Client makes the Election, the Parties shall conclude the Development Contract without undue delay, consistent with Clause 9.
- 8.3 If the Client does not make the Election within the Decision Window, this Agreement terminates upon its expiry. The Prototype Fee remains earned by the Developer and Clause 10.4 applies.

9. Framework of the Development Contract

- 9.1 **Price.** The Total Project Price for the Selected Route is fixed at USD 600,000 and covers development and delivery of the launch version of the game as scoped in the Development Contract.
- 9.2 **Payment schedule.**
- a. USD 40,000 — the Prototype Fee already paid under this Agreement, credited in full;

- b. USD 120,000 — payable upon signature of the Development Contract; this payment reserves the full production team and triggers full production;
- c. USD 440,000 — payable upon delivery and contractual acceptance of the final product as defined in the Development Contract.

- 9.3 **Delivery commitment.** The Development Contract will contain a concrete release deadline and a price-reduction mechanism of 10 to 20 percent of an agreed base if the Developer misses that deadline, together with: the milestone against which delay is measured, a grace period, written change control for added or modified scope, exclusions for delayed Client inputs or approvals, and force majeure treatment.
- 9.4 **Governing law of the Development Contract.** The Parties agree that the Development Contract will likewise be governed by the laws of the Czech Republic and subject to the jurisdiction of Czech courts as per Clause 14, unless the Parties expressly agree otherwise in writing.
- 9.5 **Obligation to contract.** If the Client makes the Election, the Developer undertakes to conclude the Development Contract on the terms of this Clause 9 and otherwise on usual and reasonable terms; with respect to this undertaking this Agreement constitutes a contract on a future contract (smlouva o smlouvě budoucí) under Section 1785 et seq. of the Civil Code. The Client's Election is voluntary; nothing in this Agreement obliges the Client to proceed to full production.
- 9.6 **Form of delivery and distribution.** Under the Development Contract the final product will likewise be delivered in the form of playable builds and/or web builds, including store-ready release binaries. Source code, project files and source (working) assets will not form part of the delivered work unless the Development Contract expressly agrees otherwise; marketing materials will be treated in line with Clause 10.6. The Development Contract will also specify the store accounts and distribution channels under which the final game will be published and operated; this Agreement deliberately leaves that unspecified.
- 9.7 **Post-launch server and maintenance fee.** From full launch of the game, the Client will pay the Developer a recurring monthly fee covering server infrastructure and routine maintenance of the live service. The exact monthly amount will be fixed in the Development Contract and is currently expected in the range of USD 500 to USD 1,000 per month at launch scale. The Development Contract will define what routine maintenance includes, and will provide for a review of the fee if actual player numbers or infrastructure usage materially exceed the launch-scale assumptions. Extended live operations (new content, events, economy tuning and similar) are not covered by this fee and may be agreed separately.

10. Intellectual property

- 10.1 Each Party retains all rights it held before the Effective Date, including the Developer's engines, tools, libraries, know-how and generic game mechanics (“**Background IP**”).
- 10.2 Materials, briefs, brand assets and content provided by the Client remain the Client's property. The Client grants the Developer a non-exclusive, royalty-free licence to use them solely for the Project.
- 10.3 All intellectual property in the deliverables of the Prototype Phase (“**Prototype IP**”) vests in and remains with the Developer during the term of this Agreement. The Client receives a non-exclusive, non-transferable licence to use delivered builds and materials solely for internal evaluation and decision-making regarding the Election.
- 10.4 If the Development Contract is not concluded: the Developer retains the Prototype IP and may reuse it except for elements derived from the Client's Confidential Information or Client materials, which the Developer shall not use; the Client shall not use, develop or commission development based on the Prototype IP or the Developer's Confidential Information.
- 10.5 If the Development Contract is concluded, it will govern the transfer or exclusive licensing of the game's intellectual property to the Client upon payment in full, with the Developer retaining its Background IP subject to a licence enabling the Client's full use of the game. For the avoidance of doubt, any such transfer or licence concerns rights to the game as delivered in build form; it does not entitle the Client to delivery of source code, project files or source assets unless the Development Contract expressly agrees otherwise.
- 10.6 **Marketing materials.** Where the Developer provides materials expressly designated as marketing materials (for example key art, screenshots, video captures or promotional texts), the Client may use them for internal presentation and, subject to Clause 11.4, for promotion of the Project. This licence covers the marketing materials as delivered and does not extend to their source files.

11. Confidentiality

- 11.1 “**Confidential Information**” means all non-public information disclosed by one Party to the other in connection with the Project before or after the Effective Date, including the existence and terms of this Agreement, the Total Project Price and payment terms, game concepts and design documents, the prototype and all builds, business plans, and the content of the Parties' calls and correspondence.
- 11.2 Each Party shall keep Confidential Information secret, use it solely for the Project, and disclose it only to its employees, contractors and professional advisers who need it for the Project and are bound by confidentiality obligations at least as protective as this Clause.

- 11.3 Confidential Information does not include information that is or becomes public other than through breach, was lawfully known to the receiving Party before disclosure, is received from a third party without confidentiality obligation, or is independently developed without use of the disclosing Party's Confidential Information. Disclosure required by law, court or regulator is permitted to the minimum necessary extent, with prior notice to the other Party where lawful.
- 11.4 Neither Party shall make public announcements about the Project without the other Party's prior written consent.
- 11.5 On written request the receiving Party shall return or destroy Confidential Information, except for copies required by law or routine backups.
- 11.6 The obligations of this Clause 11 apply during the term of this Agreement and for 5 (five) years after its termination.

12. Warranties and liability

- 12.1 The Developer shall perform with professional care and adequate expert capacity. The prototype deliverables are pre-production artifacts intended for evaluation; they are provided as they stand at delivery and no warranty of fitness for commercial release attaches to them.
- 12.2 The total aggregate liability of either Party under this Agreement is limited to the amount of the Prototype Fee actually paid. Neither Party is liable for loss of profit or indirect or consequential loss. These limitations do not apply where liability cannot be limited under mandatory Czech law (including harm caused intentionally or by gross negligence within the meaning of Section 2898 of the Civil Code).

13. Term and termination

- 13.1 This Agreement takes effect on the Effective Date and terminates on the earlier of (i) conclusion of the Development Contract, or (ii) expiry of the Decision Window without Election, or (iii) termination under this Clause.
- 13.2 Either Party may terminate for a material breach not remedied within 10 (ten) business days of written notice. If the Client terminates without the Developer's material breach, or the Developer terminates for the Client's material breach, the Prototype Fee remains earned.
- 13.3 Clauses 10, 11, 12, 14 and 15 survive termination.

14. Governing law and jurisdiction

- 14.1 This Agreement and any non-contractual obligations arising out of or in connection with it are governed by the laws of the Czech Republic, in particular the Civil Code. The United Nations Convention on Contracts for the International Sale of Goods shall not apply.
- 14.2 All disputes arising out of or in connection with this Agreement shall be resolved by the courts of the Czech Republic. Pursuant to Section 89a of Act No. 99/1963 Coll., the Czech Civil Procedure Code, the court with local jurisdiction is the court competent for the registered office of the Developer.
- 14.3 The Parties will attempt to resolve any dispute amicably by negotiation between senior representatives before commencing proceedings.

15. Final provisions

- 15.1 This Agreement may be amended only in writing signed by both Parties; this requirement itself may be waived only in writing.
- 15.2 This Agreement constitutes the entire agreement of the Parties on its subject and supersedes prior discussions of the same subject. The July 2026 proposal and the Parties' calls have informative value for interpreting the agreed scope.
- 15.3 If any provision is invalid or unenforceable, the remainder stays in force and the Parties shall replace the provision with a valid one closest in economic effect.
- 15.4 Neither Party may assign this Agreement or any rights under it without the other Party's prior written consent.
- 15.5 This Agreement is executed in English; the English text governs. It may be signed in counterparts and by qualified electronic signature (e.g. DocuSign), which the Parties accept as written form.
- 15.6 Formal notices shall be sent by email with delivery confirmation to the addresses stated below the signatures, and are deemed delivered on the first business day after dispatch unless a delivery failure is received.

Schedule A — Prototype Phase deliverables and timeline

Timeline runs in weeks from the start of the Prototype Phase (Clause 7.2). Signature and offer finalization are targeted for the week of 10 August 2026.

#	DELIVERABLE	CONTENT	DELIVERY TARGET
D1	First visual concepts	Concept art of the game world and the narrator character; initial visual directions, distinct from Hexapolis	Week 1
D2	Documentation and visual style	Complete prototype-scope game documentation; visual style decided with the Client	Week 2
D3	Playable demo	The first 2 to 3 minutes of the game, playable on a phone	Week 3
D4	MVP Vertical Slice	Representative sample of all core launch systems in one installable build (Clause 3.1 d); performance validation on mid-range Android	Weeks 4–5

Each deliverable is followed by the Client feedback window under Clause 6. The Decision Window (Clause 8) starts on the day following delivery of D4. All deliverables are provided as playable builds or presentation materials per Clause 3.3; source code and source assets are not included.

Schedule B — Client inputs due at or before the Effective Date

1. Target age range and audience definition.
2. Launch territories and languages for the first release.
3. Mandatory national initiatives, technologies or messages that must appear in version one.
4. Approved references for the narrator character (tone, personality, any constraints).
5. Cultural and regional representation guidelines and any review or approval process on the Client's side.
6. Brand assets and visual standards, if any are binding.
7. Name and contact of the single feedback-authorised person (Clause 5.1).

Signatures

	DEVELOPER	CLIENT
Name	[•]	[•]
Title	[•]	[•]
Place, date		
Signature		
Notice email	[•]	[•]